I. Memorandum Explaining the Provisions in the Finance Bill
J. Outcome Budget

Annual Financial Statement (AFS), Demands for Grants (DG) and Finance Bill are submitted as per the mandate of the Constitution. Macro-Economic Framework Statement and Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement presented as per the provisions of the Fiscal Responsibility and Budget Management Act,2003. Other documents are in the nature of explanatory statements supporting the mandated documents.

A. Demand for Grants

As seen earlier the AFS contains the estimated expenditure and receipts. It has the estimation for both Charged Expenditure and the expenditure to be voted by the Parliament. The expenditures other than the Charged Expenditure are called Voted Expenditure. The expenditures charged from Consolidated Fund of India without the subject to vote/approval of the Parliament are called Charged Expenditures.

The expenditure to be voted by the Parliament is presented to the Parliament as a demand and the Parliament grants it. Hence the submission before the Parliament for approval is called Demand for Grants. It is presented ministry wise, in some cases department wise. For Union Territories without Legislature, a separate Demand is presented for each of such Union Territories.

The Constitution prohibits voting on Charged Expenditure at the same time discussion on Charged Expenditure is not prohibited. Moreover the ministries may have both Charged Expenditures and Voted Expenditures. Hence both are submitted in the form of Demand for Grants but Charged Expenditures are not subject to vote. The Ministry/Departments having both the expenditures present them separately. Where the provision for a service is entirely for expenditure charged on the Consolidated Fund of India like interest